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[illegible] [redacted] [illegible]

[illegible] report, the [illegible] [illegible] gross income. Therefore [illegible] business expenses incurred by him in prepar- [illegible] gross income and [illegible] of expenses represents income which is subject to Federal income taxation.

As an alternate to the report type method the contract could be re-written on an [illegible] expense basis not to exceed $500. Under this method Dr. Heath would be [illegible] reimbursed for the expenses incurred by him in the experimentation necessary to produce the report. As this full amount would be completely [illegible], Dr. [redacted] would not have to report it on his Federal income tax return. This method is not recommended because it ties us in writing to closely with the actual experimentation to be done by Dr. [redacted]. If something should happen as a result of his performing experiments on human beings, the contract would [illegible] experimentation that [illegible] [illegible] [illegible] the report.

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[redacted]

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[illegible]

[illegible] [redacted] [illegible]

[illegible] expenses [illegible]

[illegible] should be considered [illegible] to him.

Headquarters would also like to know where [redacted] University fits in the picture. It was our understanding that the contract would be drawn directly between CIA and Dr. [redacted] and that the officials of [redacted] would not even be aware. The message from the CO writer indicates some sort of a role which [redacted] or university is to play in this arrangement. We would like it clarified so as to know how to proceed with any necessary revision of the contract because of [redacted] participation therein.

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